

Subject Description Form

Subject Code	AF3318
Subject Title	Principles of Insurance
Credit Value	3
Level	3
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject contributes to the achievement of the BBA Outcomes by providing students with basic knowledge of risk management and insurance. After successful completion of this course, students should be able to evaluate risk management decisions for both individuals and corporations. They should be able to be aware of important public policy issues and institutional changes related to risk. They should have a solid understanding of insurance companies and insurance industry regulations. They also should be able to calculate the pricing of life insurance and annuities.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: <u>understand and explain</u> what risk is, why it is important and how to identify it; <u>understand and apply</u> methods to measuring and managing risk; <u>evaluate</u> different risk management tools and <u>choose</u> the most effective one; - Recognize the need for continual learning and self-improvement, and be able to plan, manage and evaluate their own learning in pursuit of self-determined goals. (BBA Outcome 10)
Subject Synopsis/ Indicative Syllabus	Introduction What risk is, types of risk, why it is important; what the objective of risk management is, the cost of risk, and its relation with individual and corporate risk management Identifying Risk Management Problems The economics of information asymmetry; Overview of Tort Liability Rules and Procedures and what economic objectives are of the Tort Liability System Methods of Risk Assessment and Risk Management Basic probability and statistics concepts; Evaluating the frequency and severity of losses; Correlation analysis and discount cash flow analysis; Introduction to Non-insurance methods of risk reduction: loss control, risk retention vs. risk reduction Insurance Company and Insurance Regulation Risk reduction through pooling arrangements and diversification; Costs of pooling arrangements; Ownership structure of insurance company; Introduction to

	economic capital; Introduction to Insurance regulation, with a focus on solvency regulation Specifics of Insurance Introduction of factors that affect insurance pricing; Factors that limit the insurability of risk: moral hazard and adverse selection (review); Contractual provisions that limit coverage: deductibles, coinsurance, policy limits Life Insurance and Annuities Overview of the specific features of these two products; Introduction of mortality tables; introduction to tax implications of investment in life insurance and annuities; calculation of pricing of various types of life insurance and annuities
Teaching/Learning Methodology	Lectures will be conducted on the topics of the syllabus. Lecture time will be used flexibly for discussing with students key concepts and their applications and carrying out other learning activities with them. Students are encouraged to participate actively in the class discussion. To collect feedback from students' learning in a timely fashion, pop-up quizzes will be conducted from time to time in class. Overall, the course aims at developing students' critical thinking and analytical skills in the area of insurance, and fostering your teamwork, communication, and presentation skills. Problem sets are provided for self-practice and for preparation for exams. Weekly office hours will be held for academic consultation. Individual appointments outside of regular office hours can be arranged via email.

Assessment Methods in Alignment with Intended Learning Outcomes								
	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	Continuous Assessment	50%						
	1. Attendance and Class Participation	5%	√	√	√			
	2. Quizzes (in-class)	10%	√	√	√			
	3. Mid-term exam	15%	√	√	√			
	4. One group project • Project report • Project presentation	10% 5%	√	√	√			
	5. L2L reflective essay	5%				√		
	Final Examination	50%	√	√	√			
	Total	100 %						
Student Study Effort Expected	Class contact:							
	▪ Lectures				39 Hrs.			
	Other student study effort:							

	Revision	40 Hrs.
	Working on group project/Quiz/ problem sets	30 Hrs.
	Total student study effort	109 Hrs.
Reading List and References	Recommended Textbooks Scott E. Harrington and Gregory R. Niehaus, <i>Risk Management and Insurance</i>, 2nd ed., 2004, McGraw-Hill Companies. References Rejda, George E., <i>Principles of Risk Management and Insurance</i>, 12th ed., 2013, Addison Wesley. Hull, John C., <i>Options, Futures, and other Derivatives</i>, 9th ed., 2014, Prentice Hall. Newspaper: Wall Street Journal, Financial Times	